

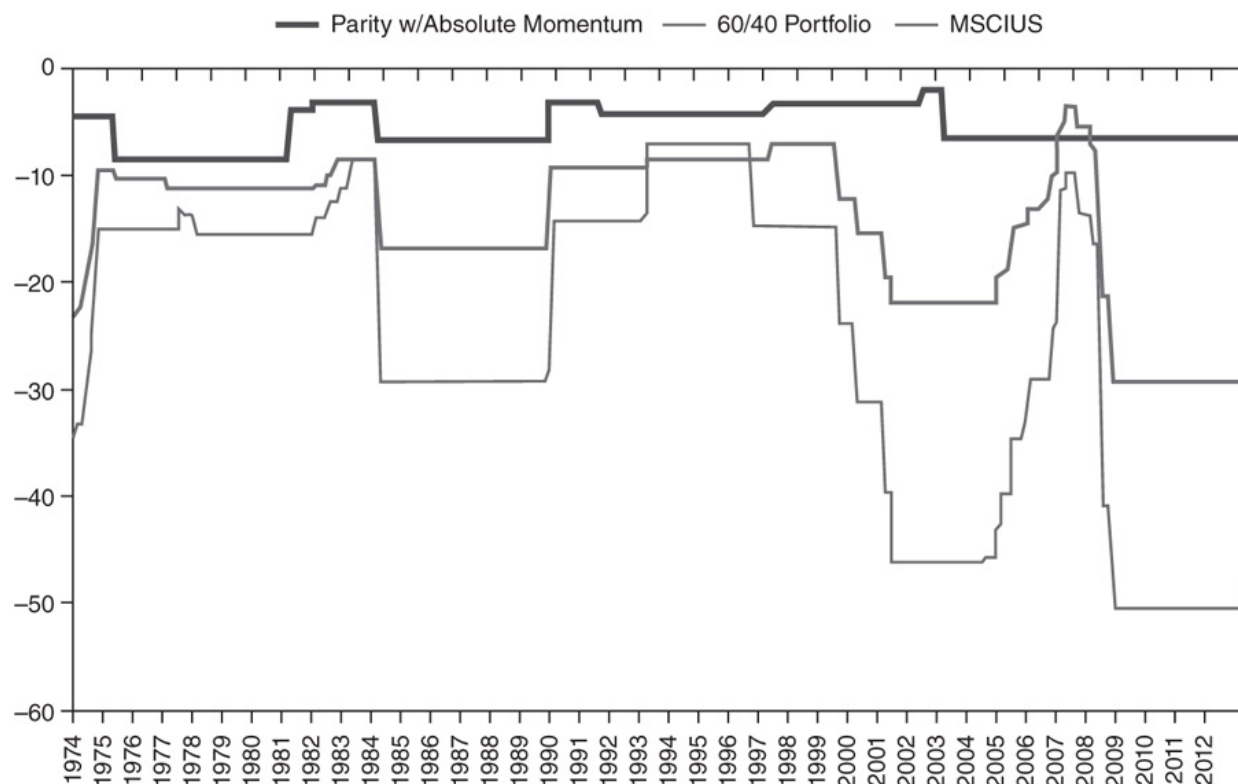


Figure B.21 Rolling Five-Year Maximum Drawdown, 1974–2012

Table B.7 shows how our parity portfolio with absolute momentum, by adapting to regime change, bypassed the major equity erosions of the stock market since our data began in 1974.

Table B.7 Maximum Stock Market Drawdown, 1974–2012

	MSCI US	60/40 Portfolio	Parity w/Abs Mom
3/74–9/74	–33.3	–22.4	+2.2
9/87–11/87	–29.4	–17.0	–1.7
9/00–9/01	–30.9	–15.4	+5.4
4/02–9/02	–29.1	–12.2	+7.3
11/07–2/09	–50.6	–29.3	–0.4

Figure B.22 is a plot of our parity portfolio quarterly returns on the y axis plotted against the corresponding quarterly returns of the S&P 500 index